



FRENCH FIGHTER:
The Rafale

COMING UP

- Vendors will respond to RFP with detailed proposals by February 2008.
- On June 9, 2008, vendors have to provide details of defence offsets, i.e., how they plan to invest \$5 billion.
- Field trials of all six aircraft will be conducted in India in 2009. All armaments are to be certified.
- IAF will shortlist aircraft, for which MoD will open commercial bids and negotiate with the winning firm.
- The deal will be signed after the Cabinet Committee on Security clears the purchase.
- The first batch of 18 aircraft will be delivered by the manufacturer within four years of the signing of the contract.
- The remaining 108 aircraft are to be built in India by HAL.

and Lockheed Martin, indicates a shift away from Russia, which has traditionally been India's defence partner, having supplied over 80 per cent of IAF's aircraft so far. The last major fighter aircraft contract, the \$3-billion (Rs 12,000-crore) deal for building 140 Su-30MKI in India, was awarded to Russia in 2002 without any contest.

The RFP, delayed for years but issued just weeks after the conclusion of the Indo-US nuclear deal, was perhaps the incentive for the deal. The open-ended nature of the RFP suggests it could be a wide contest. While it specifies that the fully-loaded weight of the MMRCA should be between 14 and 30 tonne (allowing both the F-16 and F/A-18), it does not say if the aircraft has to be single- or twin-engined. Since the lowest bidder will get the contract, it tilts the balance in favour of the single-engined F-16 and the Gripen, which have lower lifecycle costs. "It is like entering a Maruti 800 and a Mercedes in the same contest," fumes a vendor. For the first time in an Indian fighter contract, the flyaway cost of each MMRCA—roughly \$81 million (Rs 324 crore)—is being calculated not on the basis of the off-the-shelf cost

but on life-cycle costs.

Yet, price may not be the only deciding factor in the deal which promises to be a slugfest between nations, which will try to leverage their economic and military clout. The US, which is the world's largest arms supplier, is only a neophyte in the Indian military market, but is already exerting its substantial politico-economic influence to bag the contract. In fact, the competition is fiercest between the two competing US giants. At the Aero India show, which was held in Bangalore earlier this year, Boeing prevented Lockheed Martin's F-16 from scoring an exclusive PR coup by getting Ratan Tata to fly its F/A-18.

The other competitor, France, with its advanced nuclear energy sector, is likely to bait India with the promise of technical cooperation. Even Sweden, which doesn't have a military attaché in Delhi, flew in a defence delegation

to the Capital within a week of the RFP. "The Gripen is the independent alternative," emphasised H.G. Wessberg, Sweden's state secretary for defence, who also spoke of a pending MOU on defence cooperation that could cover areas like military aviation and underwater technologies. Russia is already leveraging its deep roots in the Indian defence sector and its strategic lease of a nuclear submarine and assistance in other classified programmes. Russia's United Aircraft Corporation (UAC) has quietly worked behind the scenes to field the MiG-35, a dramatically upgraded version of the MiG-29, which IAF operates. Featuring upgraded engines, digital fly-by-wire cockpits and a new radar, the MiG-35 has been developed with an eye on the mammoth Indian contract.

Last month, UAC swiftly inked a deal with India to open a depot for spares in the country to overcome the problem of

abysmal after-sales service of Russian machines. "We can keep the spares the IAF needs and supply them within hours. This will also be included in our MMRCA proposal," UAC President Alexey Fedorov told news channel Headlines Today in Moscow. Looks like the benefits of the deal may already have started kicking in. ■

THE AIR BALANCE

	 CHINA	 INDIA	 PAKISTAN
FIGHTERS	1,366	623	354
TRANSPORT	228	228	32
HELICOPTERS	336	326	27